# WAVERLEY GATEWAY GUIDE

*Connecting International Capital*

# HUNGARY

Europe

*Information current as of November 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Budapest and Pest county | Capital and economic centre; seat of government, the Magyar Nemzeti Bank and most regional headquarters and service centres | Business services, IT, finance, pharmaceuticals, logistics |
| Debrecen and the East | Fast-growing manufacturing hub and site of CATL's battery plant, where module production is under way | Batteries, automotive, electronics, pharmaceuticals |
| Szeged and the South | Site of BYD's first European passenger-car plant, which began test production in early 2026 with planned capacity of 200,000 vehicles a year | Electric vehicles, components, logistics, agri-food |
| Győr and the North-West | Established automotive and engineering cluster on the Vienna–Budapest corridor, close to Austria and Slovakia | Automotive, machinery, logistics |
| Kecskemét and the Great Plain | Automotive manufacturing centre between Budapest and Szeged | Automotive, components, agri-processing |
| Paks (Danube) | Site of Hungary's nuclear power plant and the Paks II expansion, now under review by the new government | Nuclear energy, engineering, power |
| Danube corridor | River route linking Hungary with Austria, Serbia and the Black Sea, with a new Danube bridge planned at Mohács | Logistics, energy, agri-exports |

### INVESTOR ENTRY ROUTES

- Hungarian Investment Promotion Agency (HIPA) supports foreign investors; in 2025 it helped launch 108 projects worth €7.07 billion, creating 18,227 jobs
- A 9% corporate income tax, one of the lowest headline rates in the EU, with incentive agreements available for large projects
- EU single-market and Schengen membership, with free movement of capital; the forint floats and the government aims to meet euro-entry criteria by around 2030
- €16.4 billion of previously frozen EU funds (€10 billion recovery funds and €6.4 billion cohesion funds) agreed for release in May 2026, for energy grids, railways and housing
- Industrial parks and municipal sites in established manufacturing regions, with transport links to Austria, Germany and the Balkans

- Energy diversification projects, including new oil and gas supply routes, as Hungary reduces reliance on Russian energy

### MARKET-ENTRY OBSERVATION

Hungary in November 2026 is in a period of significant positive change. Péter Magyar's Tisza party won the April 2026 election with 141 of 199 seats, a two-thirds majority, and the new government quickly agreed with the European Commission to unlock €16.4 billion in frozen EU funds; Parliament amended more than 100 laws over the summer, mostly on the judiciary and anti-corruption, and all milestones were reported as met by the 31 August deadline. GDP grew 1.5% year-on-year in the third quarter of 2026, inflation was low at 1.6% in September, and the Magyar Nemzeti Bank has cut its base rate four times this year to 5.50%. Hungary keeps a 9% corporate tax, and HIPA-supported projects reached €7.07 billion in 2025, led by Chinese battery and electric-vehicle investment.

Hungary's main structural challenge is repairing public finances while restoring growth. The new government revised the 2026 deficit estimate to 7.5% of GDP from the original 3.7% target and expects public debt to rise to 77.5% of GDP, from 74.6% in 2025; Fitch affirmed its BBB rating with a negative outlook in June 2026. The response is credible: the government is cutting state operating costs by about HUF 700 billion, targets a deficit of 4.9% in 2027, and aims to meet euro-entry criteria by around 2030, with possible adoption in 2032. The returning EU funds, better relations with Brussels and a review of previous large investment agreements should improve transparency and give investors a more predictable, rules-based environment.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Fiscal deficit and rising debt | The 2026 deficit is estimated at 7.5% of GDP and debt at 77.5%, with Fitch's BBB rating on negative outlook | The 2027 budget targets 4.9% and a euro-entry path to 2030; build possible tax changes, including the new wealth tax, into plans |
| Review of past investment agreements | The new government is reviewing Orbán-era subsidy deals, including with BYD, and tightening environmental and labour checks on battery plants | Expect more transparent, rules-based incentives; ensure full compliance and engage early with regulators |
| Russian energy links and sanctions | Hungary still imports Russian oil and gas; Paks II is built by Russia's Rosatom and is under review; the EU aims to end Russian gas imports by November 2027 | Screen all energy-sector counterparts against EU and US sanctions; diversification creates openings in new supply routes |
| Slow growth | Drought has hit agriculture and kept growth modest, with the central bank forecasting 1.8% in 2026 | EU-funded investment is expected to lift growth in 2027; low inflation and falling rates support demand |
| Currency exposure | Hungary is outside the euro area and the forint can be volatile | Use hedging; the euro-entry plan and a joint ERM II working group with the central bank should add stability over time |
| Sector taxes and price caps | Special sector taxes and the retail energy price cap affect returns in banking, retail and energy | Take local tax advice and monitor the 2027 budget for changes to sector levies |
| Labour availability | Skilled labour is scarce in manufacturing regions, raising wage costs | Partner with universities and vocational schools, and invest in automation |

### INVESTOR RISK NOTE

Hungary's risk profile is improving. The April 2026 election produced a stable two-thirds majority for a government committed to EU cooperation, judicial reform and anti-corruption, and the release of €16.4 billion in EU funds follows. Hungary is not on the FATF grey list and remains investment grade, though Fitch's outlook is negative because the deficit has widened to an estimated 7.5% of GDP in 2026. Investors should note Hungary's continuing links with Russian energy: Russian oil and gas imports continue, the government has set 2035 as its deadline to end reliance on Russian energy, and the Paks II nuclear project is led by Rosatom; EU and US sanctions must be checked for any dealings with Russian counterparts. The new government is also reviewing earlier incentive

agreements with Chinese battery and car makers. With these points managed, Hungary offers a low-tax EU base with improving governance.

### MARKET ACCESS

As an EU member, Hungary gives investors tariff-free access to the EU single market and to all EU free trade agreements, with trade with third countries governed by the EU's common trade policy and WTO rules. Schengen membership allows passport-free movement across most of the EU. Hungary's manufacturing sector is closely integrated with German and wider European supply chains, especially in automotive and electronics. It sits on road, rail and Danube corridors linking Western Europe with the Balkans, Romania and Ukraine. In energy, MOL has been testing Croatia's Adria pipeline as an alternative crude supply route and has said its refineries should be able to run fully on non-Russian crude by the end of 2026.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Prime Minister's Office (Prime Minister Péter Magyar) | Leads the government elected in April 2026 with a two-thirds majority, focused on EU funds, reform and anti-corruption | Primary reference point for Hungary's strategic direction |
| Hungarian Investment Promotion Agency (HIPA) | National investment agency supporting foreign investors with incentives, site selection and aftercare | Standard first point of contact for market entry and incentives |
| Magyar Nemzeti Bank (MNB) | Central bank setting the base rate, cut to 5.50% in 2026, and supervising the financial sector | Relevant for monetary outlook, currency and the euro-entry path |
| Ministry of Finance (Minister András Kármán) | Leads the budget, tax policy and fiscal consolidation towards euro-entry criteria | Key counterpart on tax and public finance |
| Ministry of Transport and Investment (Minister Dávid Vitézy) | Oversees transport projects and the recovery of EU funds | Counterpart for EU-funded rail, grid and infrastructure projects |
| MOL Group | Hungary's largest energy company, diversifying its crude supply away from Russia | Partner for oil, gas, petrochemicals and energy-transition projects |
| Paks II | Company developing two new nuclear units at Paks with Rosatom, under government review | Engage only after sanctions screening and clarity on the review outcome |

### CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Hungary, the British Chamber of Commerce in Hungary, the German-Hungarian Chamber of Industry and Commerce and the Hungarian Chamber of Commerce and Industry are the main business associations, with regular dialogue with government. HIPA provides investor services and supplier-development programmes linking foreign investors with Hungarian firms. The European Bank for Reconstruction and Development, the European Investment Bank and the World Bank are active in energy, infrastructure and private-sector finance, and the release of EU funds will create new co-financing opportunities. Embassies of major EU partners and the United States maintain commercial sections that are a useful source of introductions.

### INVESTOR PROFILE BEST SUITED

Hungary suits investors seeking a low-tax manufacturing base in the heart of Europe: automotive, battery and electronics manufacturers serving German and European supply chains; business-services and IT companies in Budapest and Debrecen; construction and engineering firms targeting EU-funded rail, grid and housing projects; and energy companies supporting diversification away from Russian supply. Investors should take sanctions advice before any engagement with Russian-linked energy projects, and expect a more transparent approach to state incentives under the new government.

### FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage HIPA and assess incentives
Open dialogue with the agency on site selection and incentives, noting the government's review of earlier subsidy agreements.

STEP 2: Map EU funding opportunities
Identify recovery and cohesion programmes for energy grids, railways and housing as the €16.4 billion is released.

STEP 3: Shortlist manufacturing locations
Compare sites in Debrecen, Szeged, Győr and Kecskemét for supplier and component investment.

STEP 4: Plan for fiscal and currency developments
Track the 2027 budget, sector taxes and the euro-entry plan, and build forint hedging into financial models.

STEP 5: Screen energy-sector counterparts for sanctions exposure
Take specialist advice before any dealings with Russian-linked energy entities or projects such as Paks II.